

MEESHO DICE CHALLENGE 3.0

BUSINESS TRACK



TEAM: MM23B004 (BLACKBUCK, IIT MADRAS)

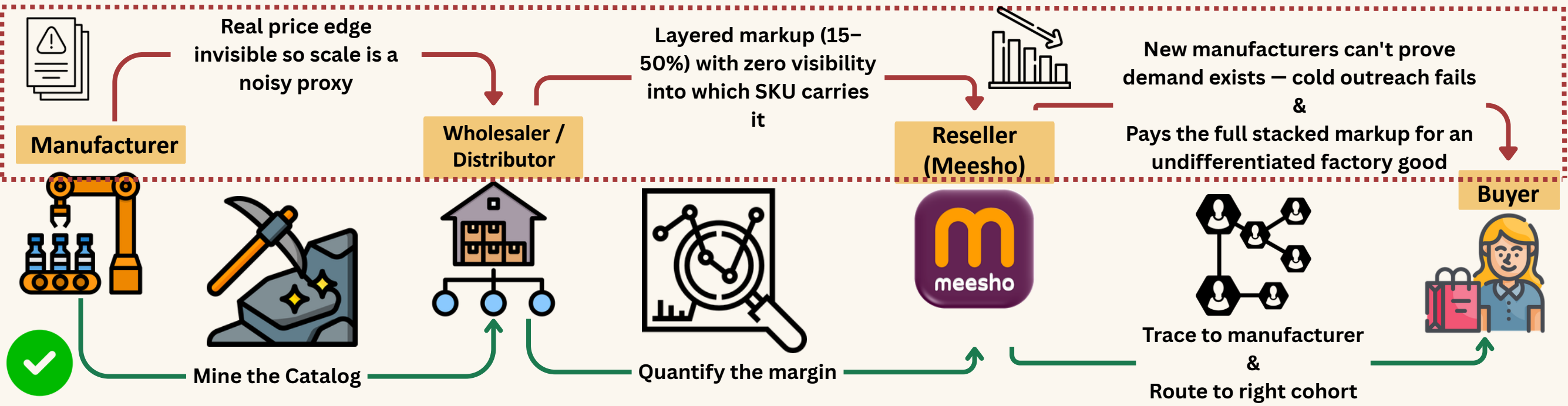
LEKHNA SRUTHI CHINNAM | MAHITH CH | SUMANTH BOMMALI

Round 1

Building Meesho's C2M Base

Present Scenario, Scope of Issues & Traceback Opportunity

Segment & Barrier Map



Estimated Market Sizing (C2M Addressable Base in India)

TAM ~100,000+ Micro & Small Apparel / Home Textile / Footwear Manufacturers	SAM ~25,000 Digitally-aware manufacturers and high-volume informal sellers currently operating via offline wholesale or social commerce (WhatsApp/Instagram)	SOM ~2,500 Direct-to-Source Manufacturers within 12 months whose exact SKUs are already being resold on Meesho with high price dispersion.
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PRIMARY RESEARCH FIELD INSIGHTS

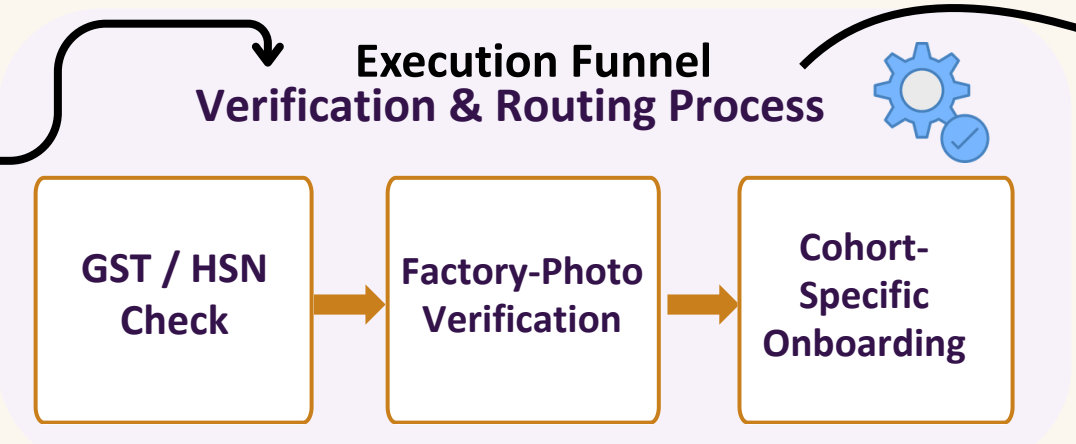
- GST Compliance Deficit**
Mandatory GST acts as an immediate dealbreaker for informal, home-based sellers.
- Operational Friction**
One-woman operations lack time for single-item dispatches and catalog maintenance.
- Basket-Size Motivation**
Sellers seek multi-category bundling, not platform-forced price-discounting.
- High-Switching Friction**
WhatsApp's zero-return, flexible rules create a high threshold to move onto B2C apps.

Defining the Lens: Margin × Readiness
A manufacturer worth chasing needs BOTH: real capturable margin AND readiness to act on it

M Margin
Price dispersion ≥ threshold

R Readiness
Digital + fulfilment footprint

T Trust
GST / HSN + factory verified



3 Clusters
The first three traceback targets

3,095 Panipat MSMEs (home textiles)	20,000 Tiruppur units (knitwear/apparel)	10,000+ Agra micro-units (footwear)
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MARKET OPPORTUNITY

2.27B Meesho platform scale, the demand base that makes manufacturer direct migration credible from Day 1	706K Sellers Active reseller base whose catalog data reveals intermediary markup patterns across every category	15-50% Stacked channel markup benchmark	16 Days Average days to a new seller's first order on Meesho (down from 32 days in FY23).	15-50% Potential margin captured by bypassing intermediary distributor layers.	Proven 2.3x Increase in new sellers reaching early business success within 2 months, with assisted onboarding (Flipkart New Seller Success Programme)
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Strategic Takeaways for Meesho (The Bridge)

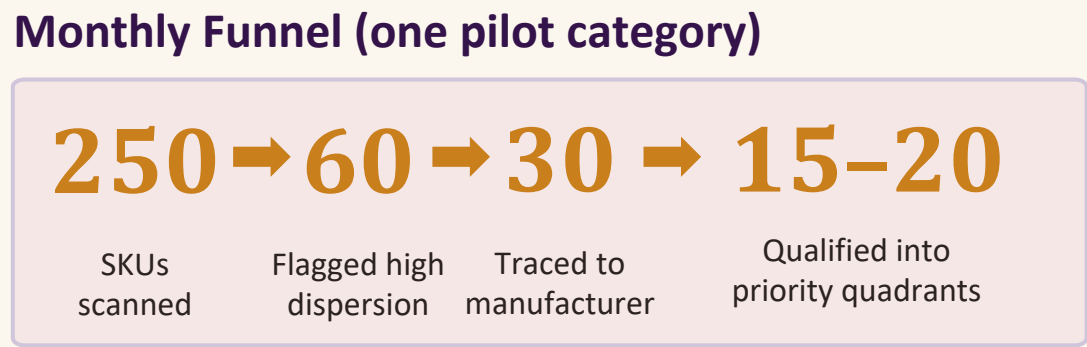
Shift Sourcing Logic from "Outreach" to "Traceback"
We don't target random large manufacturers; identify high-dispersion SKUs already selling on Meesho and trace them to their factory source.

Provide Cohort-Specific De-risking
Address operational hassle for small/informal sellers through managed logistics pilots (e.g., Valmo-fulfilled) and simplified tax onboarding support.

Automate Early Order Velocity
Instead of relying on manual handholding or expensive subsidies, we'll reallocate a share of existing proven SKU demand to verified manufacturers during their first 30 days.

Key Macro Opportunity

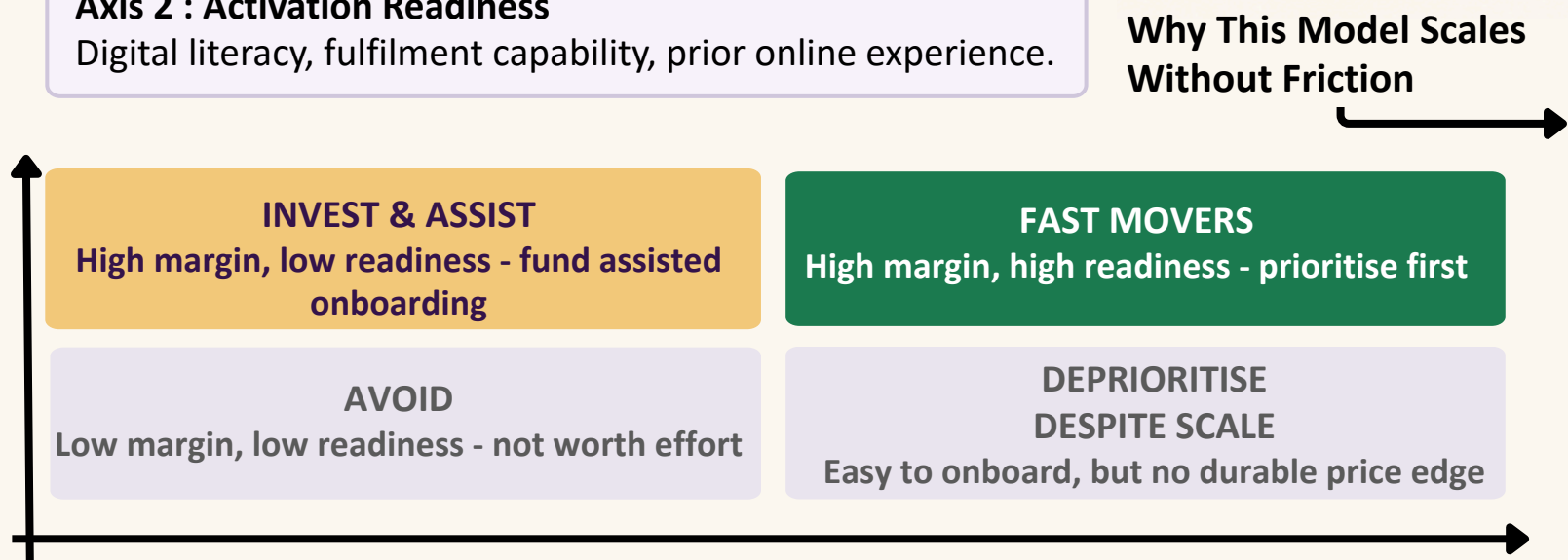
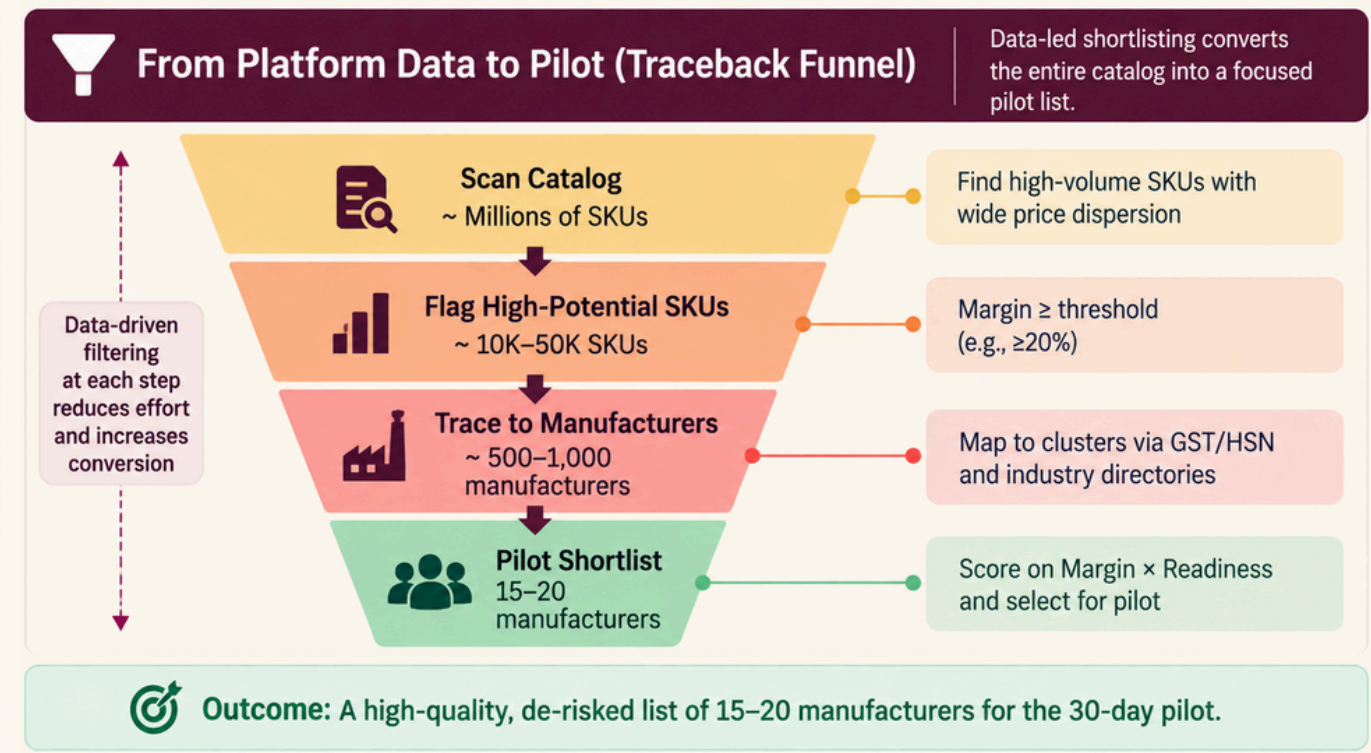
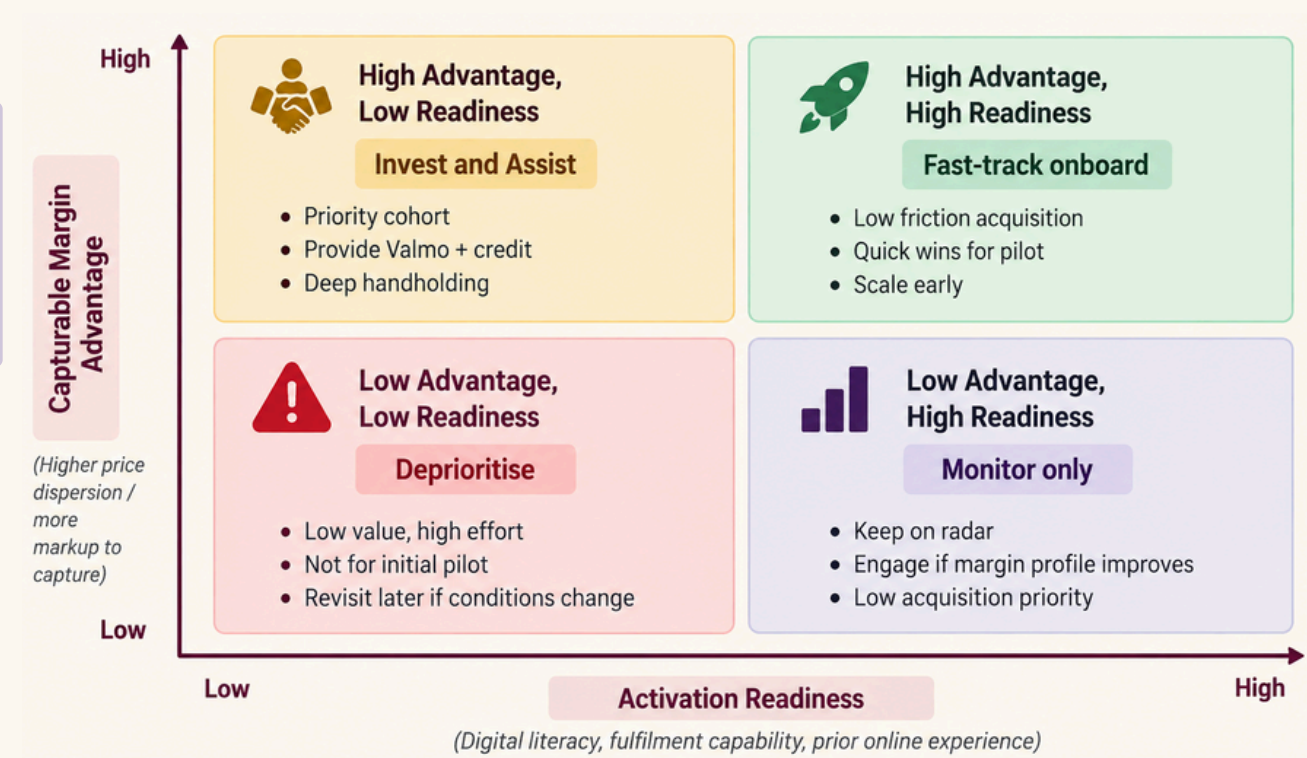
\$15B+ Domestic & export production revenue	30% - 100%+ Cumulative markups over factory costs due to intermediate layers
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Prioritisation 2x2

Axis 1 : Capturable Margin Advantage
Does the manufacturer own raw materials, production, or automation? Does the category show real price dispersion in the catalogue?

Axis 2 : Activation Readiness
Digital literacy, fulfilment capability, prior online experience.



Demand Pre-Validated
No “will there be scale?” question
Volume is already transacting on Meesho — proven demand, ready to migrate.

Acquisition Repeatable
Traceback + cluster partnerships
Not manual sourcing, so scales without linear headcount.

Barriers Named & Addressed
Not generic assisted operations
Each cohort has a specific de-risking mechanism (Valmo, credit, price parity, etc.).

Scale-Up Algorithm
Demand Migration Engine
Drives early volume, which isn’t subsidy-dependent and not relationship-dependent.

Worked Scoring Example

Manufacturer Type	Advant-age	Readi-ness	Quadrant
Panipat Home Textile mill	4.5	2.5	Invest and assist
Branded footwear manufacturer	2.5	4.0	Deprioritise

Manufacturer Qualifications: 3 gates
Only the qualified manufacturers enter the prioritization 2x2



Demand Migration Engine: Taper Function

Pilot Stage	OTIF Condition	Migration Share	Guardrail
Days 8–15 (Onboarded)	Not yet live	0%	GST/HSN + factory verified first
Days 16–20	OTIF ≥ platform avg.	20%	Live OTIF tracked daily
Days 21–25	OTIF ≥ 95%	50% (ceiling)	Never exceeds 50% displacement
Any stage	OTIF < platform avg.	Auto-pause / revert	Protects buyer experience



15-20
Manufacturers Piloted



1 Hub
Panipat (Home Textiles)



20% → 50%
Demand tapered to verified mfr



30 Days
To pilot go / no-go decision



Risks & Guardrails

Fake manufacturer claims
GST/HSN + factory-photo verification gates any migration.

Can't fulfil migrated volume
Taper is gradual (20%→50%), tied to live OTIF; auto-pauses on SLA slip.

Reseller backlash
Only the traced SKU migrates: resellers keep all other listings.

Buyer experience dip
Migration auto-pauses if OTIF falls below platform average.

DAYS 1-7



Identify & Qualify

- Run traceback scan on target category
- Score every candidate on the MarginxReadiness 2x2

DAYS 8-15



Verify & Onboard

- GST/HSN + factory-photo verification before any migration
- Assisted ops: catalog setup, packing SOP, reverse-logistics handoff — matched to cohort

DAYS 16-25



Migrate Demand

(Demand Migration Engine)

- Ranking policy shifts proven order volume from reseller → verified manufacturer listing
- 20% → 50% over 10 days, gated on live OTIF

DAYS 26-30

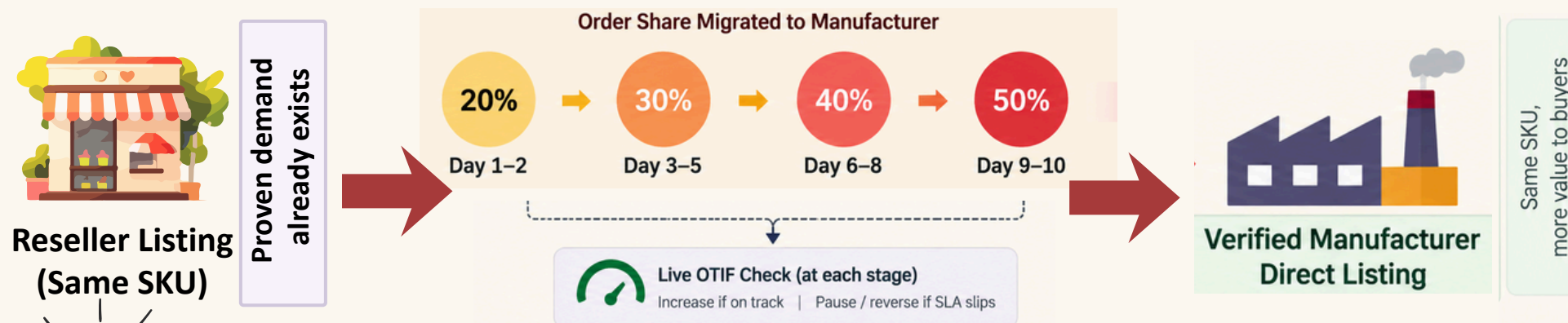


Measure & Decide

- Compare GMV shift + order-share-in-first-30-days vs. organic & churned-cohort baselines
- Go / No-Go gate to scale to next category

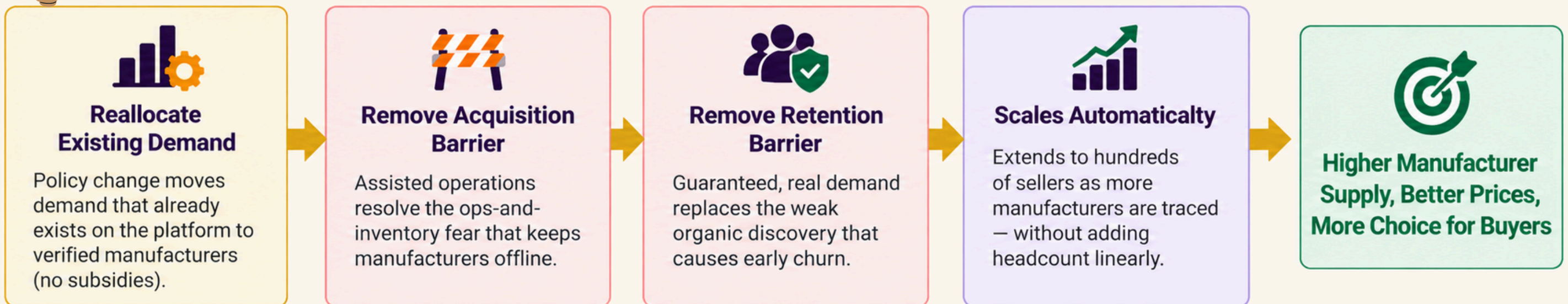
The Lever:

Trace 15–20 manufacturers in one hub + one high-dispersion category — Panipat home textiles — then taper proven demand to verified manufacturer-direct listings.

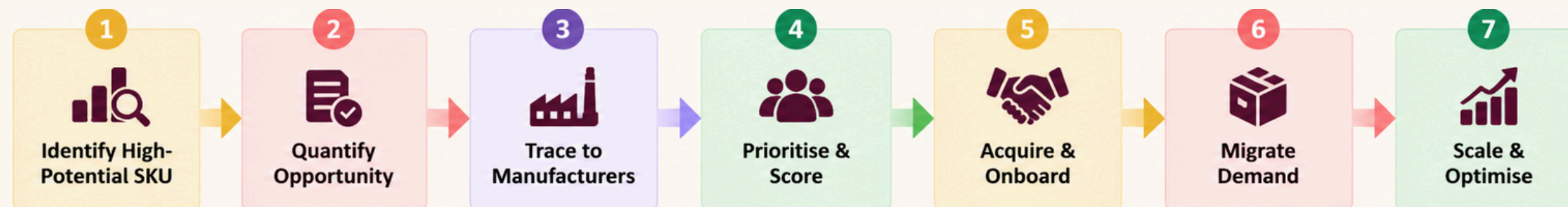


Why This Is The Right First Lever

A policy change, not a subsidy — it reallocates demand that already exists on the platform, removing key barriers and creating a scalable, self-sustaining growth flywheel.



Solves both acquisition and retention — at the same time



Continuous Learning Loop

Use performance data (GMV, OTIF, margins) to refine thresholds, prioritisation and de-risking mechanism

TRACE → QUALIFY → DE-RISK → MIGRATE

Strategies

PROJECT

Traceback, not outreach: source manufacturers from the price-dispersion evidence already sitting inside Meesho's own catalog. Quick-win pilot in Panipat home textiles.

OBJECTIVE

Replace scale-based guessing with a repeatable demand-side traceback engine. Score manufacturers on a 2×2 (margin advantage × readiness), assign a cohort-specific de-risking lever, and pilot algorithmic demand migration over 30 days.

DELIVERABLES

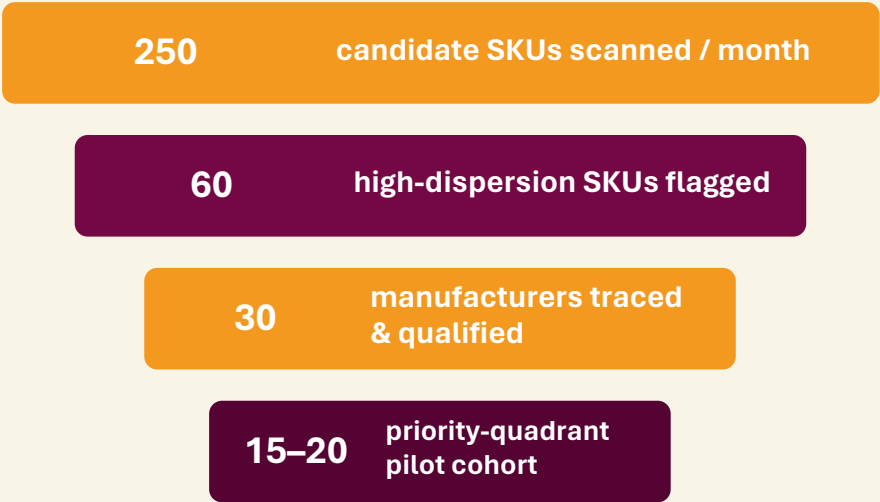
- Traceback sourcing engine + 2×2 prioritisation framework
- Cohort-specific onboarding: Fulfilled-by-Valmo pilots, working-capital credit, price-parity commitments
- 30-day quick-win pilot design with fraud, fulfilment & channel-conflict guardrails

OUTCOMES

50% Capped ceiling for demand migrated to a verified manufacturer, tied to live OTIF performance

30 Manufacturers traced & qualified per 250 candidate SKUs scanned monthly

30-DAY PILOT FUNNEL



- Traceback, not outreach - mine the catalog for high-volume SKUs sold by many resellers at a wide price band, proving real margin and real demand before any manufacturer conversation.
- Cluster-body partnerships (Amazon Karigar precedent) turn one-by-one sourcing into warm introductions to hundreds of factories at once, via bodies like the Tiruppur Exporters' Association.
- Cohort-specific de-risking: Fulfilled-by-Valmo pilots remove operational hassle for offline-only manufacturers; Udaan-style working-capital credit removes inventory risk for the cautious.
- Demand Migration Engine algorithmically tapers 20%→50% of already-proven order volume to the verified manufacturer, auto-pausing if fulfilment SLA slips.
- Reseller-first-right safeguard: migration is capped below full displacement, and the top incumbent reseller gets first right to become the manufacturer's official fulfilment partner.

WHY MEESHO CAN SCALE THIS





Appendix I: Competitive Benchmarks & Sourced Data

Every addition to the core strategy is grounded in a precedent a comparable platform has already run at scale

DICE CHALLENGE
SEASON 3



Amazon Karigar

18 lakh+ artisans across 24 states, scaled largely through 30+ cluster-body partnerships — the direct precedent for our cluster-body channel.



Flipkart NextGen / Seller Success

60 days of assisted onboarding drove a 2.3x rise in new sellers reaching early success — external validation that assisted onboarding measurably works.



Udaan

NBFC arm lends ₹10k–2L for working capital (our inventory-averse mechanism) — but its capital-intensive model is a cautionary tale we deliberately avoid.



Amazon FBA

Fulfilment-by-Amazon is the operational analog for piloting Valmo-fulfilled ops for offline-only manufacturers during the pilot.



Channel Markup Benchmark (general retail/apparel)



Source: Conga distribution-margin advisory; Techpacker apparel guide; Shopify India wholesale guide.



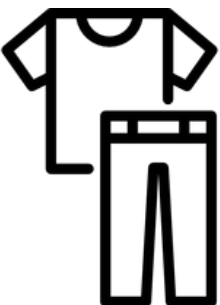
Sourced Data — Candidate Manufacturing Clusters

Cluster	Category	Scale	Source
Panipat	Home textiles	3,095 MSMEs	SAMEEKSHA MSME/TERI
Tiruppur	Knitwear/apparel	20,000 units	Tiruppur Exporters' Assoc.
Agra	Footwear	10,000+ micro-units	Facts & Factors report



Worked Traceback Exhibit (Illustrative)

A plain cotton bedsheet set is sold by 9 different resellers on Meesho — same factory product priced anywhere from ₹399 to ₹649. That ₹250 spread is layered markup from wholesaler → distributor → reseller, added as the product passed through each hand. It's proof of two things before a single manufacturer conversation happens: real margin exists to capture, and real demand already exists for this exact product.



Onboarding Drop-off & Conversion Drivers



A. Channel Markup Benchmark (General Retail/Apparel)

- Mill → Wholesaler: 15–20%
- Wholesaler → Regional Distributor: 20–40%
- Distributor → Retailer/Reseller: 30–50%
- Cumulative Markup Saved via C2M: 30% to 100%+

Source: Conga distribution-margin advisory; Techpacker apparel guide; Shopify India wholesale guide.



B. Seller Onboarding Conversion Drivers (Assisted vs Self-Serve)

- Self-Serve Drop-off: ~65% of informal micro-sellers abandon registration at the mandatory GST step.
- First-Order Acceleration: Assisted onboarding + initial demand allocation drops time-to-first-order from 16 days to <6 days.



What Round 2 would build on

- Full manufacturer-cohort sizing — the cluster × price-dispersion intersection (e.g., “if 2% of Tiruppur’s ~20,000 units carry a qualifying spread on Meesho, that’s ~400 addressable factories”)
- Complete design of the Demand Migration Engine’s ranking policy and taper curve, including the reseller-first right mechanism
- A full metrics framework across onboarding → activation → retention
- A 30–60–90 day roadmap beyond the Panipat pilot, including the cluster-body channel’s own rollout timeline
- Detailed fraud-prevention and buyer-protection guardrails built for hundreds of sellers at scale